Business Indicators, June Quarter 2026

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Structural tailwinds help fill the consumer gap.

What does it mean for Q2 GDP?

The final pieces of the puzzle for Wednesday’s June quarter National Accounts are landing. **Today’s business indicators were broadly consistent with our Q2 GDP preview reinforcing our**

expectation that GDP grew by 0.2%qtr in Q2.

Looking at the components, business inventories were slightly weaker than expected, pointing to a small drag on Q2 2026 growth, compared with our expectation for a modest 0.1ppt positive.

However, the broader economy appears to be holding up a little better than expected. Sales volumes remained firm across many industries, particularly those linked to business investment, data centres, renewable energy and construction activity. The resilience in these sectors continues to offset softer conditions in parts of the consumer-facing economy.

We will provide a final assessment of June quarter GDP following tomorrow's releases on government spending and the external sector.

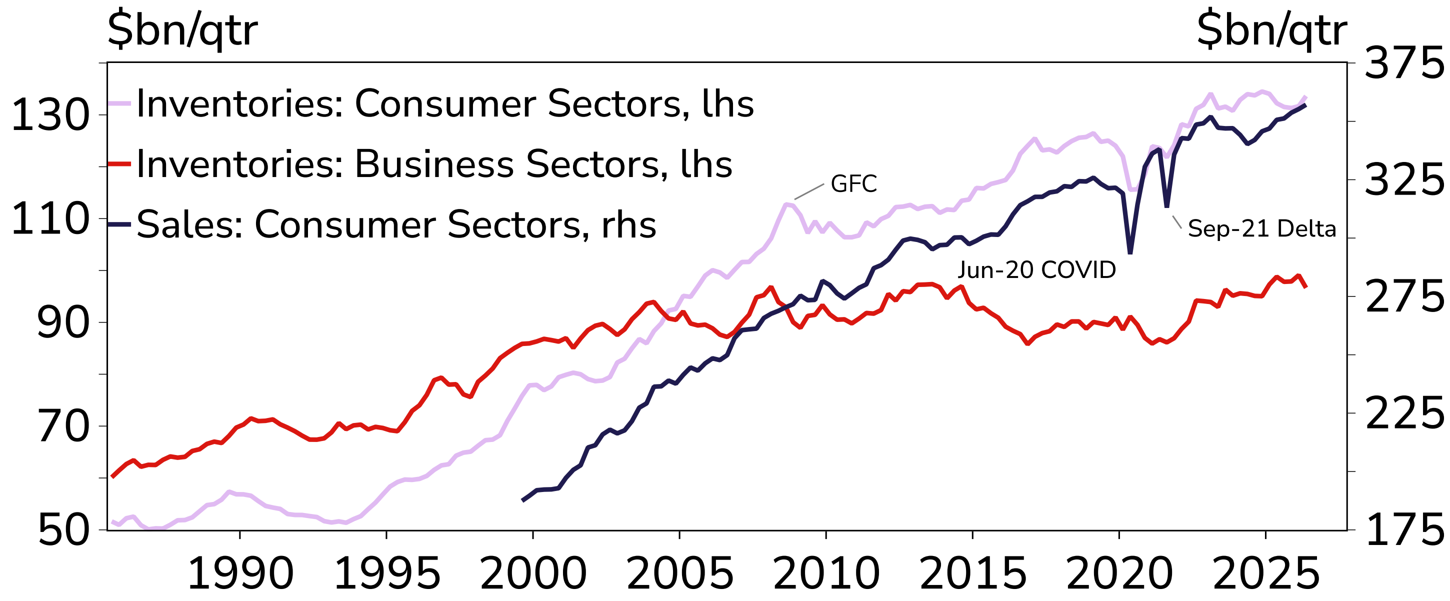
Inventories

Private non-farm business inventories unexpectedly declined 0.2% in the June quarter, while the March quarter outcome was revised higher from 0.5%qtr to 0.7%qtr. The June quarter result was weaker than both the consensus expectation of a 0.5% increase and Westpac's forecast of a 0.6% rise, although forecasts ranged widely from –0.3% to +1.0%.

The downside surprise was driven primarily by a larger-than-expected rundown in mining inventories (-4.8%qtr). This unwound much of the 5.8%qtr inventory build-up recorded in Q1, which had reflected weather-related port closures that prevented output from being shipped to customers.

Elsewhere, inventory accumulation across the non-mining sector was broadly in line with expectations. Consistent with strong imports (particularly of electric vehicles), consumer-facing industries recorded inventory gains, with retail trade, wholesale trade, and accommodation and food services all posting increases during the June quarter.

Consumer sector is running down inventories



Source: ABS, Macrobond, Westpac Economics
* consumer sectors: retail, wholesale, hospitality
** business sectors: mining, manufacturing, utilities

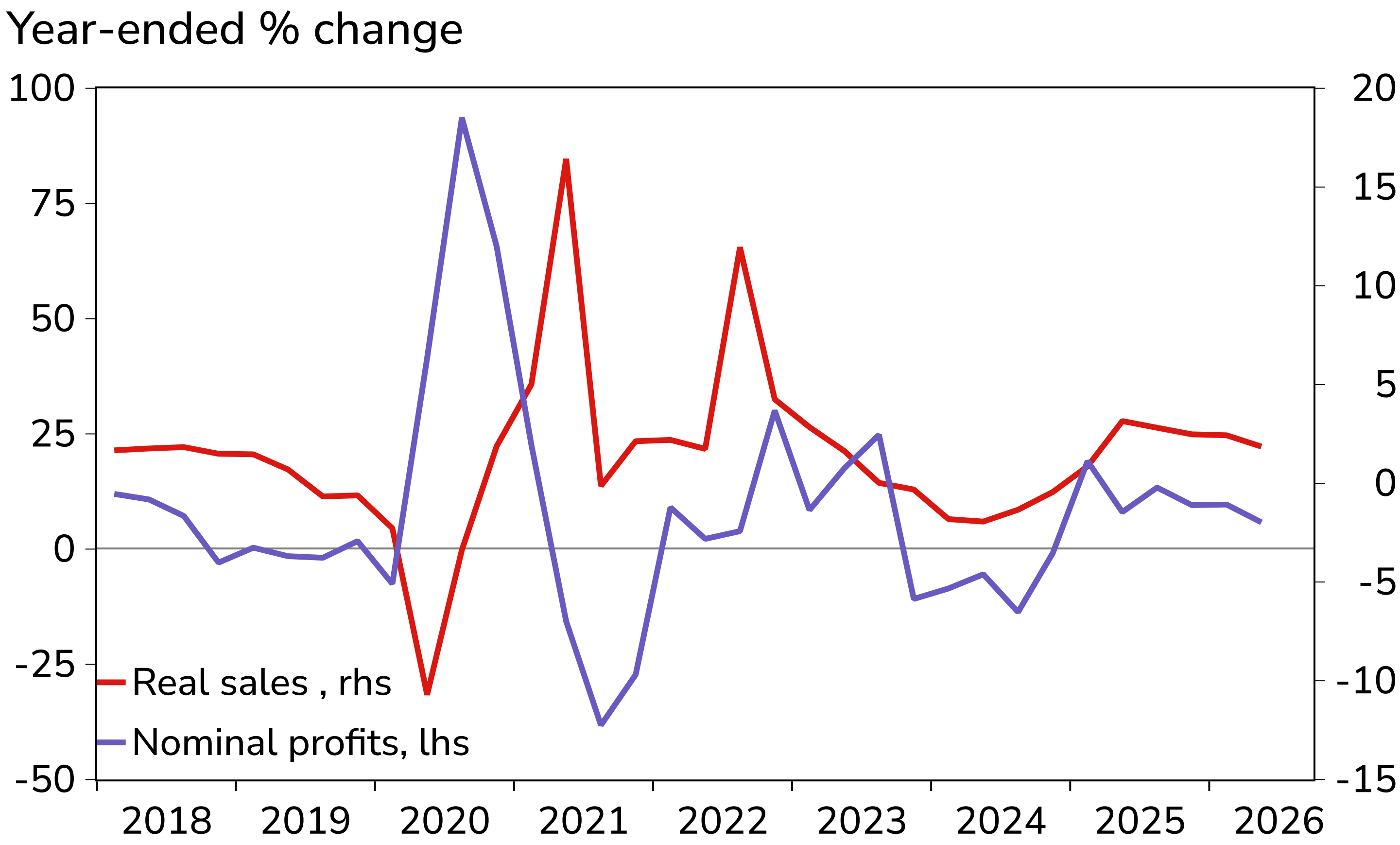
Sales

Total sales volumes rose 0.8%qtr in the June quarter to be 2.8% higher over the year, pointing to solid underlying demand across the economy. Growth was led by the mining industry (+3.3%qtr), fully reversing the decline recorded in the March quarter.

Across the non-mining economy (0.5%qtr and 2.8%yr), the picture was more mixed. A number of business-facing services industries recorded solid growth, including IT (+1.7%qtr), professional services (+2.3%qtr) and logistics (+2.3%qtr). These gains more than offset weakness in administrative services (-1.4%qtr) and utilities (-0.6%qtr). Note that aggregating sales ‘double counts’ some activity, e.g. consumer goods moving through the distribution chain that show up in both wholesale and retail sales.

Today’s data also shows that the consumer-facing industries were slowing but remained somewhat resilient. Retail trade sales volumes increased 0.8%yr, while accommodation and food services rose 1.1%yr, suggesting household spending continues to expand despite a still-challenging economic environment. This stands in stark contrast to the weakness observed through much of 2024, when many consumer-related industries experienced outright declines in sales volumes.

Consumer sector sales and profits*

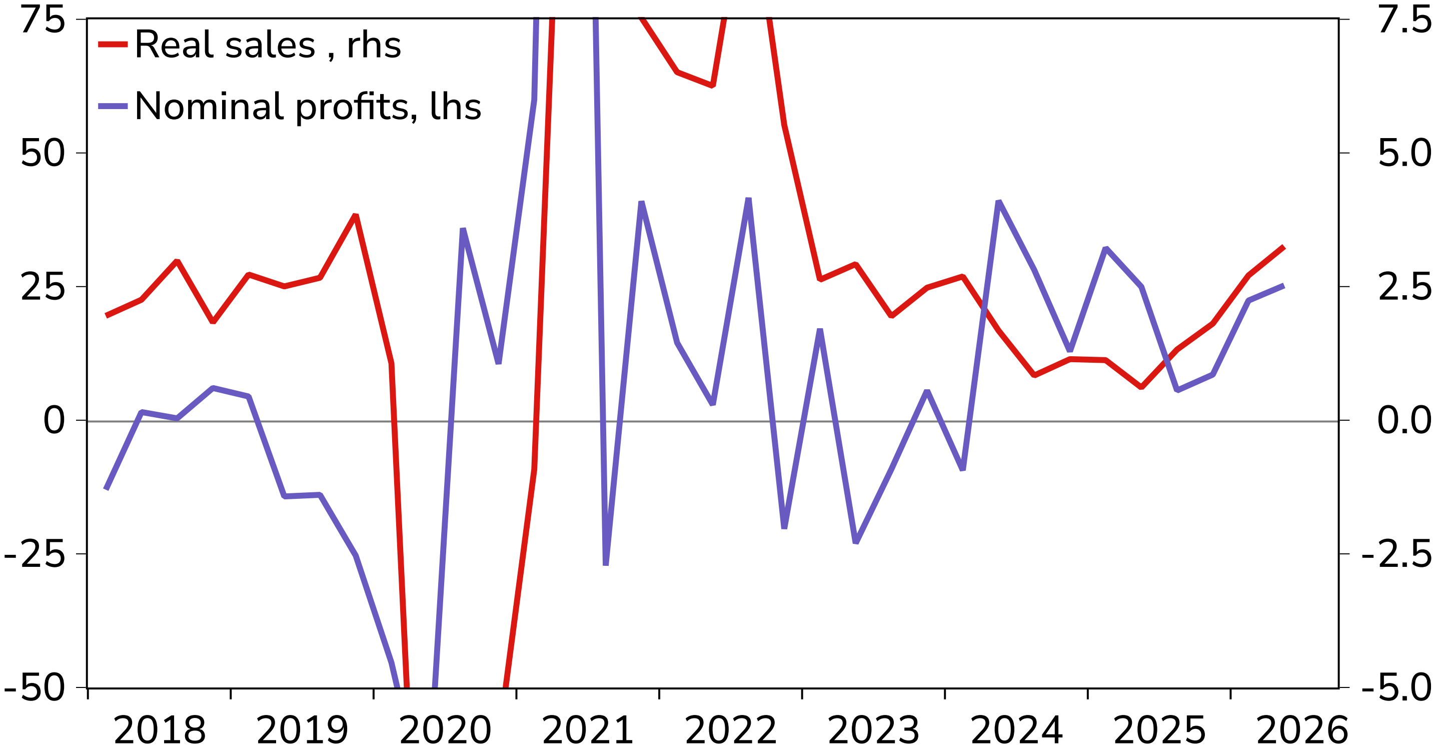


Source: ABS, Macrobond, Westpac Economics
Consumer includes: retail, recreational services, and accommodating and food services.

Particularly notable was the strength in business-oriented industries. After a weak period, professional services sales have risen almost 5%yr, while activity across construction remains firm.

Business sector sales and profits*

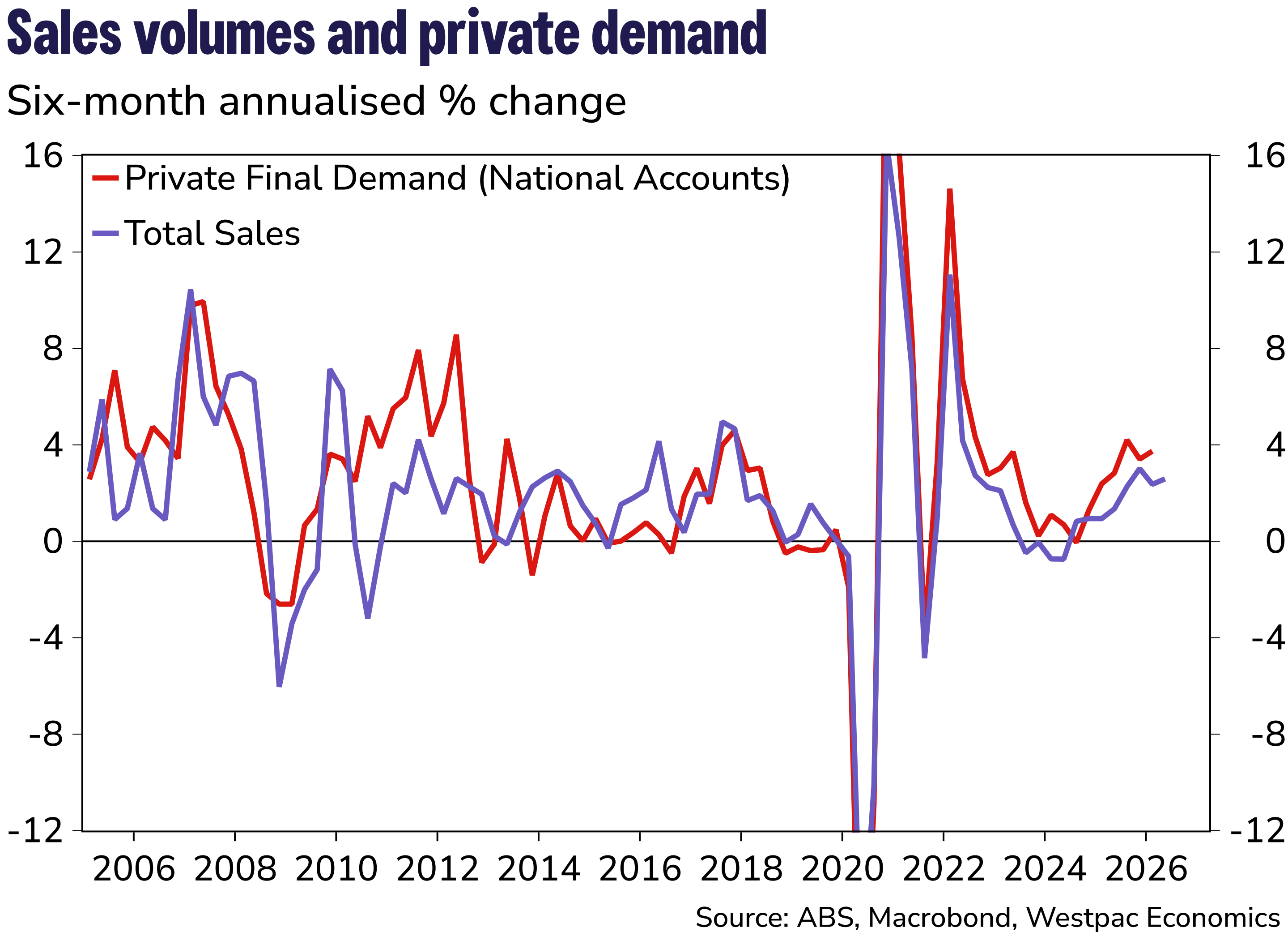
Year-ended % change



Source: ABS, Macrobond, Westpac Economics

*Business includes: Professional services, logistics, wholesale, administrative services and rental, hiring and other real estate services.

Together, these outcomes are consistent with ongoing structural support from major investment themes, including data centre development and renewable energy projects, which continue to underpin demand despite the broader slowdown in economic growth.



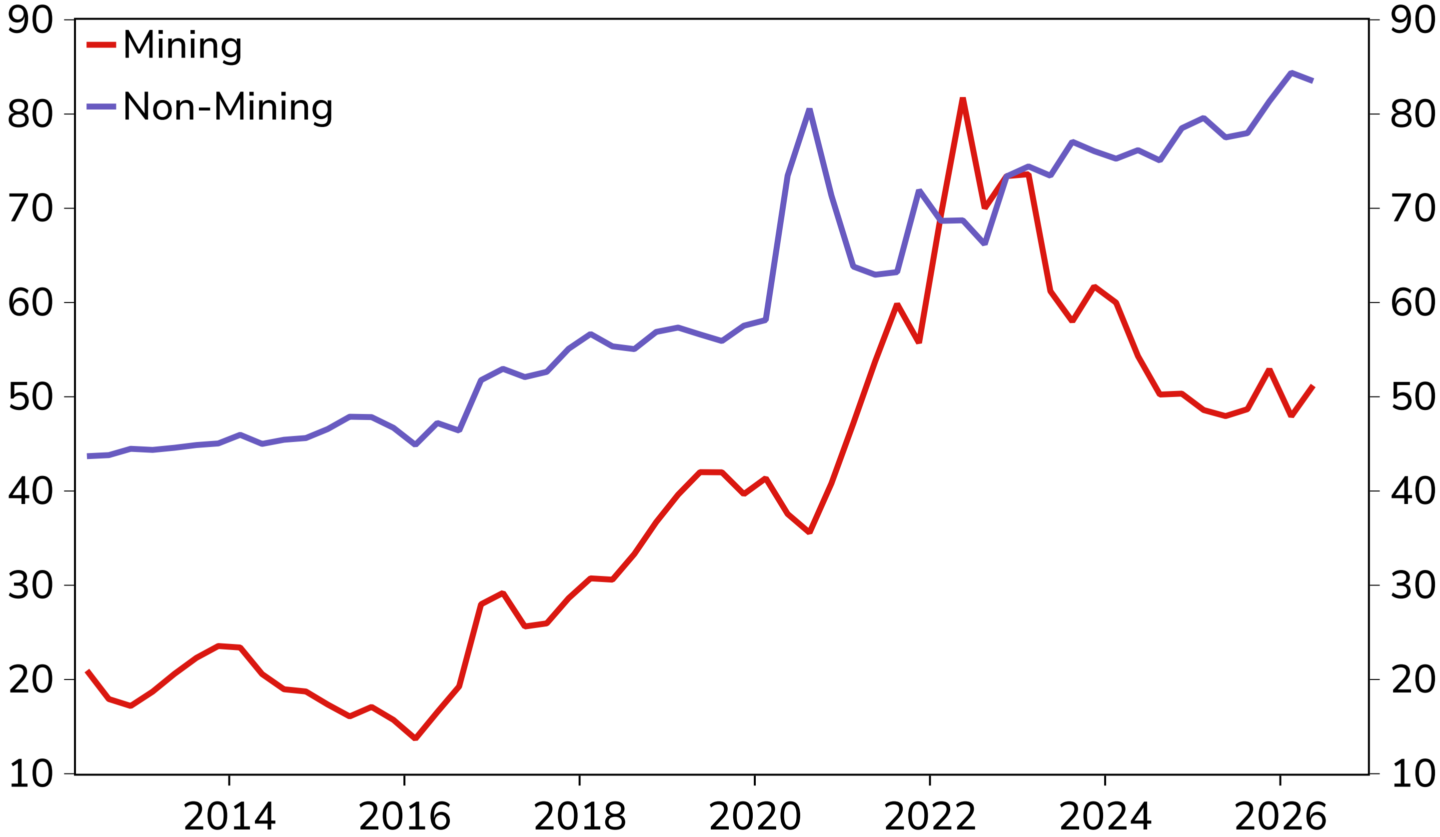
Company Profits

Headline company profits grew 1.8% in the June quarter, in line with the market expectation of a 2.0%qtr increase and somewhat softer than Westpac's forecast of a 3.1%qtr gain. Forecasts were again widely dispersed, ranging from –2.0% to +5.0%.

The industry picture was mixed. Mining profits rebounded 6.8%qtr, partially recovering the 9.4%qtr decline recorded in Q1, although the increase was slightly weaker than our expectation for an 8.0%qtr rise. Outside mining, non-mining profits declined 1.1%qtr but remain a solid 7.7% higher over the year.

Company Gross Operating Profits

Chain Volume Measures, $bn



Source: ABS, Macrobond, Westpac Economics

The effects of the Middle East energy price shock were most evident in energy-intensive industries, with profits declining in transport and logistics (-2.3%qtr) and wholesale trade (-2.9%qtr). Importantly, the weakness appears relatively contained.

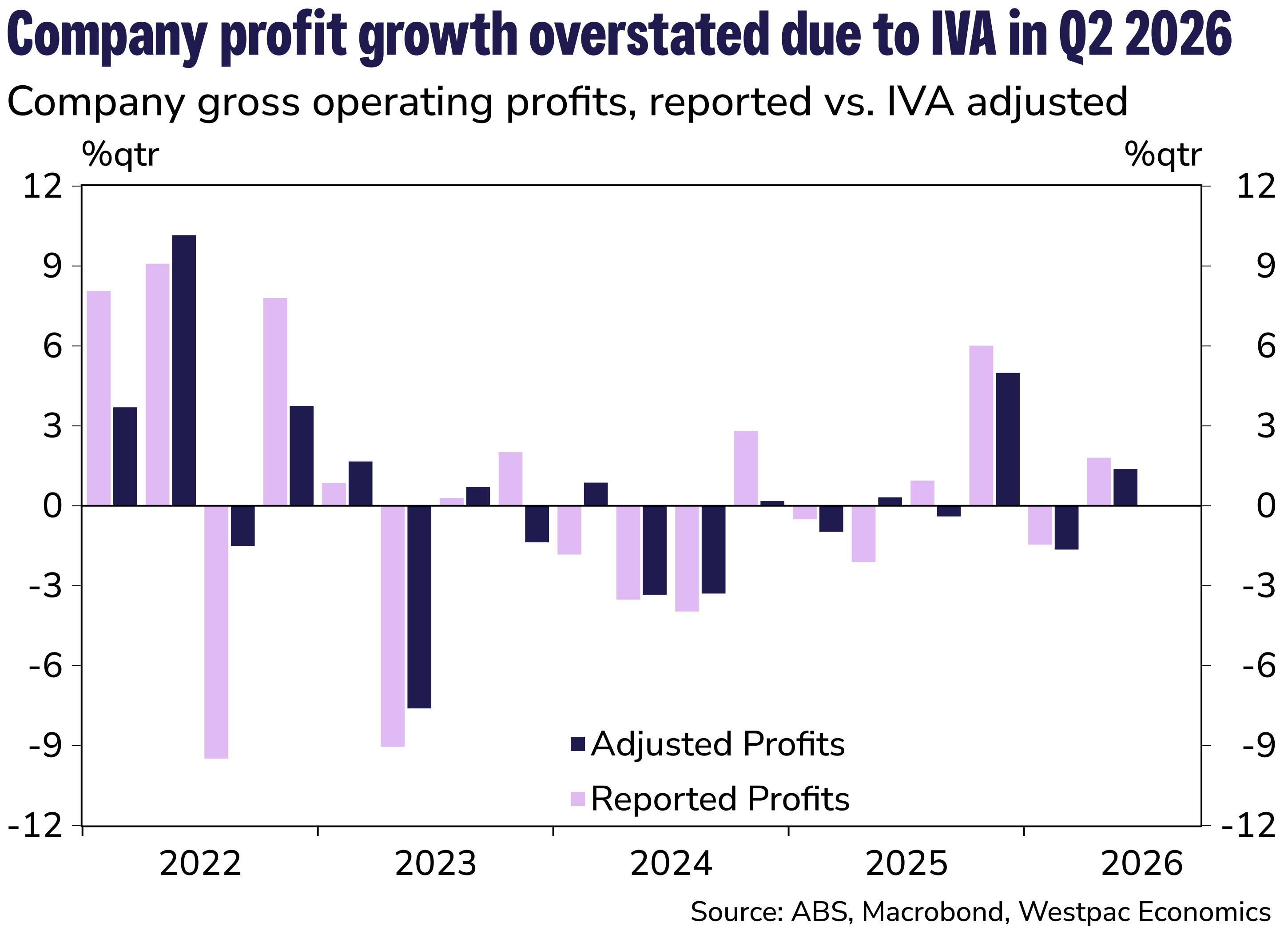
The effects of higher interest rates and costs of living pressures remain evident in the financial sector, where profits are around 25% lower than a year ago and almost 20% in the quarter. Note that the coverage only includes a small subset of the industry (mainly mortgage and insurance broking) so is therefore not representative.

Despite some quarterly volatility, the broader picture remains resilient. Almost every industry recorded higher profits than a year earlier, with finance the exception. This is consistent with an economy that is slowing rather than stalling. Business-facing industries continue to outperform consumer-facing sectors, with professional services profits rising 5.0%qtr and almost 15% over the year, while construction profits increased 1.7%qtr and 10.8%yr.

Adjusted profits

Recall that being an accounting survey, this data incorporates changes in the prices of inventories – called the inventory valuation adjustment (IVA) – into the profit measure, but in an economic sense, IVA does not represent a true change in profitability. This has been a more prominent issue in recent times with significant quarter-to-quarter shifts in the IVA driving large swings in accounting profit measures in this survey.

Today's data revealed that the IVA added $3.7bn to total profits in Q2, compared to adding $2.4bn in Q1. **After adjusting for this, we calculate that the fall in gross operating surplus as measured in the national accounts is closer to 1.4% rather than 1.8%qtr.** The ABS also employs slightly different seasonal factors between gross operating profits in this data and official measures of gross operating surplus in the National Accounts.

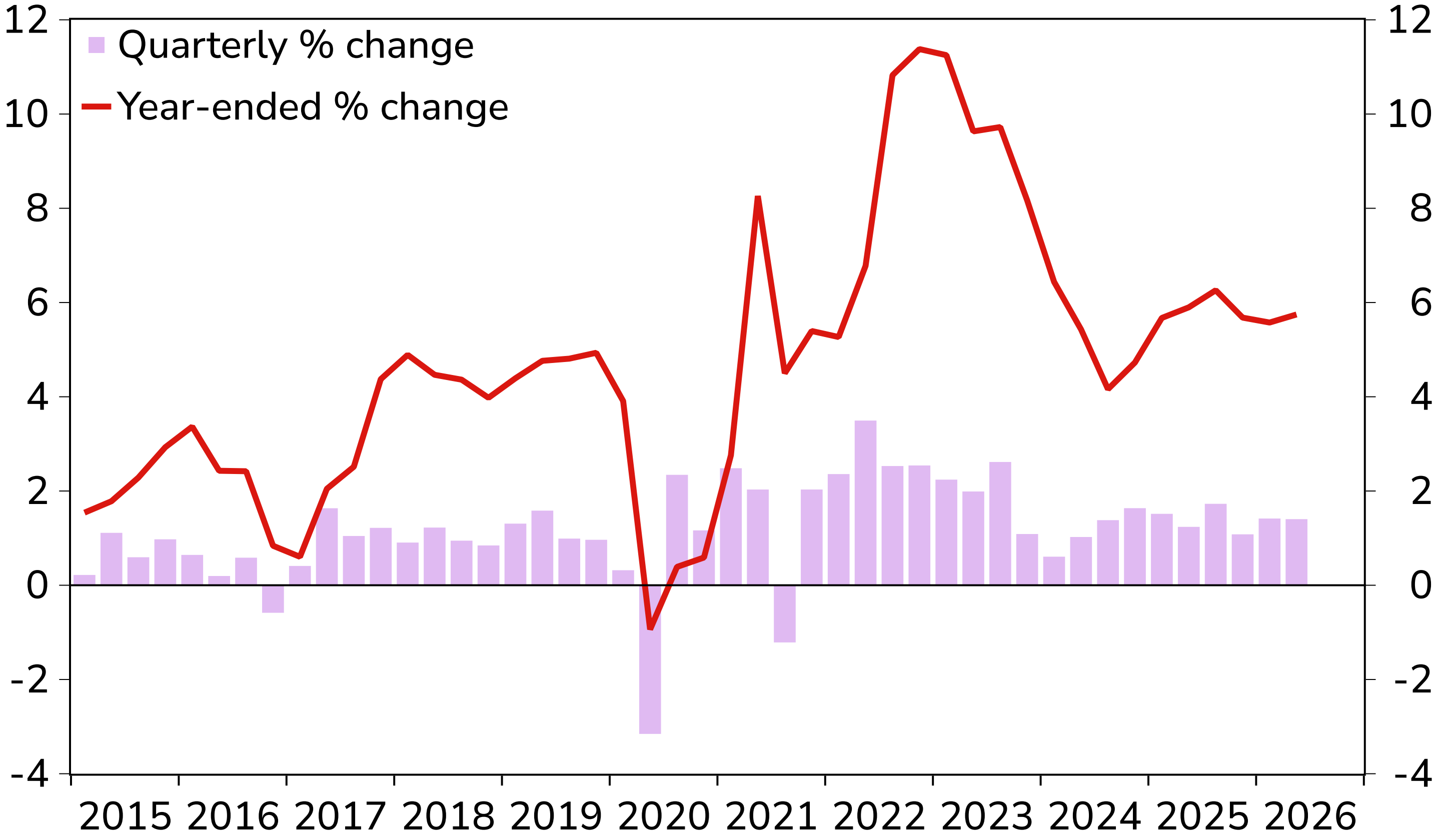


Nominal wages growth, which measures the total wages bill (that is, hours worked multiplied by wages), rose 1.4% in Q2 2026 to be 5.7% higher in year-ended terms. Growth in the private-sector wages bill has remained around 5.7%yr over the past three quarters, maintaining this pace in Q2.

Beneath the aggregate, a familiar theme is emerging. Growth was strongest in several business-facing industries, with the wages bill rising 4.3%qtr in information media and telecommunications and 1.4%qtr in professional services. This was stronger than in some consumer-facing industries, including wholesale trade (+0.9%qtr), retail trade (+1.0%qtr) and healthcare (+0.9%qtr).

Growth in wage bill moderates

Total wage bill (hours worked multiplied by wages)



Source: ABS, Macrobond, Westpac Economics

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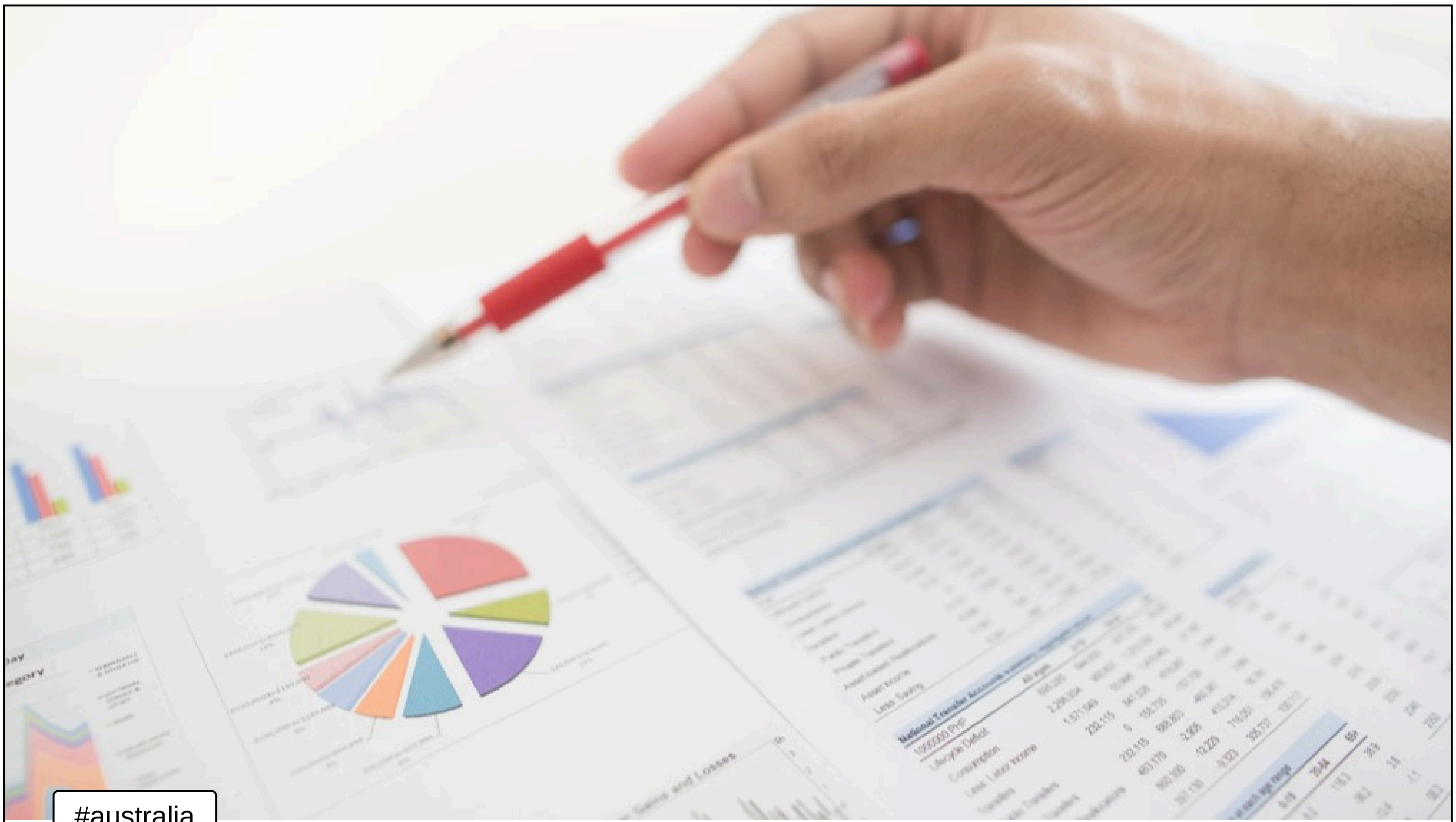

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